

Flagstar has established standards to conduct business with all Sellers based on the type of relationship, which includes Broker, Non-Delegated Correspondent, Delegated Correspondent, and 3rd/4th Party. Flagstar also maintains standards for additional programs such as appraisal independence, FHA, VA, USDA, mandatory bulk, etc.

APPROVAL

GENERAL REQUIREMENTS

The following is a list of requirements for all approved Sellers, including Broker, Non-Delegated Correspondent, Delegated Correspondent and 3rd/4th Party:

- Loan Purchase Agreement **including the Mortgage Broker Addendum**
- Legal Formation Documents/Certificate of Good Standing
- State Licensing/Registration
- Minimum **Mortgage** Experience
- Investor Scorecards (if available)
- List of Affiliated Business Arrangements (ABAs)
- **Most recent Fiscal Year End** Company Financial Statements
- Resumes for all principal officers
- Credit Authorization for all principal offers
- History of Legal and Repurchase Claims
- Quality Control Plan and/or Certification
- TPO Compliance Certification
- **Fair Lending Course**
- Additional items as determined by Flagstar

NON-DELEGATED CORRESPONDENT

In addition to the items above, the following is a list of requirements for Correspondent approval:

- Evidence of a Warehouse Line (for non-financial institutions)
- Minimum tangible net worth of \$100,000
- Fidelity Bond, minimum coverage of \$300,000 maximum deductible of \$15,000
- E&O Insurance minimum coverage of \$300,000 maximum deductible of \$15,000
- **MERS Lite Approval**
- **Toll Free/Collect Call Number**

DELEGATED CORRESPONDENT

In addition to the items above, the following is a list of requirements for Delegated Correspondent approval:

- Minimum tangible net worth of \$1,000,000, evidenced by two most recent years audited Financial Statements
- **Quality Control Plan**
- Quality Control Results for **the most recent** previous two quarters **with management's corrective action plan**
- List of Underwriters seeking Delegated authority **if tangible net worth is less than \$2,500,000**
- Company Policies and Procedures (where applicable)

3RD/4TH PARTY

In addition to the items above, the following is a list of requirements for 3rd/4th party approval:

- Minimum tangible net worth of \$2,500,000, evidenced by two most recent years Financial Statements
- List of all TPOs
- TPO Agreement
- TPO Approval Procedures
- Quality Control Plan
- Monitoring and Termination process
- **Investor Scorecards (if available)**
- **TPO Quality Control Results for the most recent previous two quarters with management's corrective action plan**
- Fidelity Bond minimum coverage of 1 million E&O insurance minimum coverage of 1 million

ADDITIONAL PROGRAMS

Sellers may also be eligible for the following programs which require separate approval:

- Appraisal Independence Requirement (AIR) – Correspondent only
- Affiliated Business Arrangements (ABA)
- FHA Approval
 - Sponsored Originator (SO)
 - **Sponsored Originator/Authorized Agent (SOAA)**
 - Authorized Agent (AA)
 - Direct Endorsement (DE) – Correspondent only
- VA Approval
 - Authorized Agent
 - **Prior Approval – Correspondent only**
 - Automatic - Correspondent only
- USDA/Guaranteed Rural Housing (GRH)
- Mandatory Bulk delivery – Correspondent only

MONITORING

STAR RATING

Flagstar's Star Rating is a monthly, aggregate measure of the quality and performance of the business delivered to Flagstar. We continuously evaluate the major drivers of quality and reflect these in a formula used to calculate Star Rating. Sellers who maintain a Star Rating of **less than 2.0** **will** be subjected to a remediation plan to improve or be terminated.

RECERTIFICATION

GENERAL

All Sellers will be recertified annually by Flagstar, which will require updates to information received since initial approval or last recertification.

For Correspondents who also have a Flagstar warehouse line of credit, the annual recertification process will be coordinated with periodic line reviews where possible.

CERTIFICATION

Flagstar may require Sellers to complete a Certification of their compliance with applicable laws, regulations, quality control or internal policies. Certification privileges shall be determined during each recertification at the sole discretion of Flagstar, who may require Sellers to provide evidence of these controls, which may include policies, procedures, system controls, quality control plan/results, or other evidence to validate compliance.